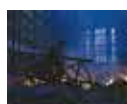




Disney VR short to debut

Walt Disney Animation Studio is preparing to debut its first VR short film, *Cycles*, this month. <https://digit.in/Aug18-54-1>



The Dark Knight

10 years after the release of the movie, Polygon explores why its success cannot be replicated ever again. <https://digit.in/Aug18-54-2>

Smart-phoney?

Boo-Man isn't too impressed with the state of the "Indian" smartphone industry

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ick up any newspaper, and scan the business headlines, and you will spot something or the other about the

smartphone industry in India. If it's not one company raising a massive IPO, or breaking shipping records of their flagships, it's something about the sheer volumes of the Indian smartphone market, and how we're set to grow exponentially. It's all hunky dory, and feels like a nice warm hug, but if you've read my column before, you know what's coming... Have you ever stopped and asked yourself exactly how helpful the growth of the smartphone industry is for India?

While I'll be the first in line to proudly sing the national anthem, and wear my pride for my country on my sleeve, the 'Indian' smartphone industry is not something I'm too proud of just yet. While our government's 'Make in India' initiative is something I love, the PR mileage some companies try and get by claiming to do so, when all they do is 'Assemble in India' irks me. It's far worse when all they do is 'Package in India'!

Now it's one thing for bigger brands to do so, because at least they're not pretending to be Indian, and have investments all over the world. I'd still like some of them to put their money where their mouth is and stop just paying lip service about India being the most important market in the world. If all the big manufacturers believe it to really be so, how about opening up some chip fabrication plants here, and

actually making their phones in India? Just the savings on import duties would be worth it. Unless of course they only look at us as walking wallets to push their flagship phones on to, and not as a true technology hub filled with hardware engineers and designers.

But what about the brands who pride themselves on being Indian? According to this report (<https://digit.in/SPIndia>) 'Indian' smartphone



manufacturer Lava (that also makes the Xolo brand of phones) sources 10% of its components locally. In fact, according to another report with a larger area of coverage (<https://digit.in/SPIndia2>) local value addition to most smartphones remains at an average of 6% in our country – be it an Indian manufacturer or an international one. Hardly what we'd term 'Made in India' now, is it?

I'm not dumb enough to say there are no barriers for these manufacturers. Of course there are areas in which we need a lot of improvement, especially electronics manufacturing. Then there are the problems of unskilled labour, convoluted paperwork, restrictive environmental laws, and more... but these too can be overcome.

In the 2015-16 Union budget, the differential excise duty structure for mobile phones was increased from 5% to 11%. Thus, imported phones would face steeper duties whereas locally manufactured phones would get to compete. It was a way to get Indian smartphone manufacturers to catch up to their international counterparts in terms of market share. How do you think legislation that favours a cross-section of a particular industry over another comes to be? Lobbying, of course. Add to this the fact that such legislation is rarely ever rolled back even after they've had

enough time to be competitive and catch up, and you see that not just Indian companies, but even multinationals soon run out of excuses for why they aren't manufacturing here.

The onus of solving the problems that the industry faces with manufacturing has to lie with

the companies that stand to benefit the most from it. Thankfully, things are changing, albeit slowly. As consumers, it's up to us to decide whether we want to help speed up this change, by using our wallets wisely. If we base our purchases on what each company does for India, and how many jobs they create, and how much of their profits are reinvested in India, we can easily cause the inevitable change to come just a tad sooner. Yes, you might have to settle for a few years, and not have the latest and greatest devices, but capitalism will ensure that pretty soon you will, because the consumers hold all the power in the end. So what are you willing to sacrifice to encourage R&D projects that make India a major electronics manufacturer? 